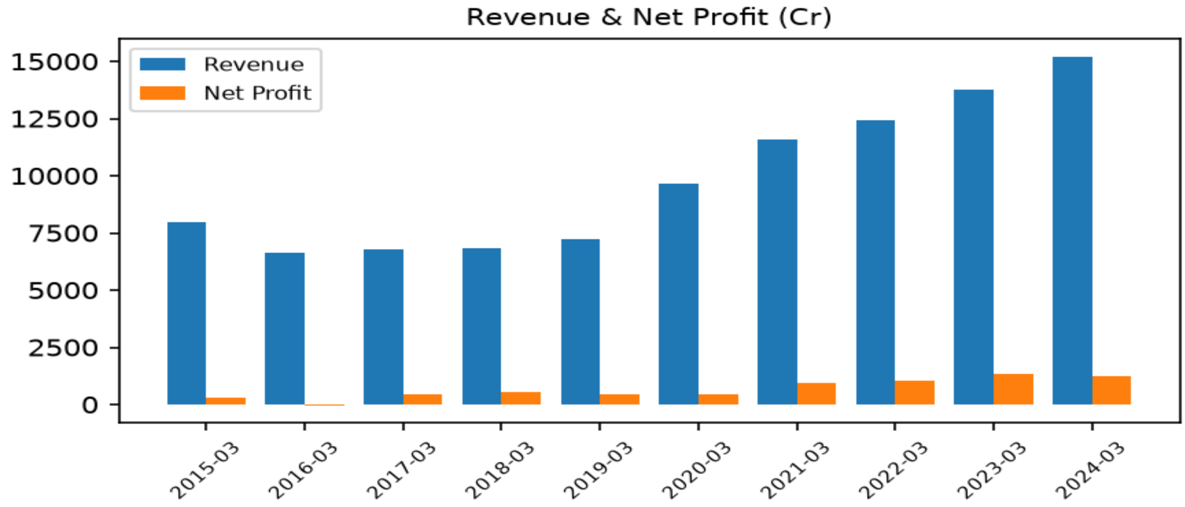
Tata Consumer Products Ltd (TATACONSUM)

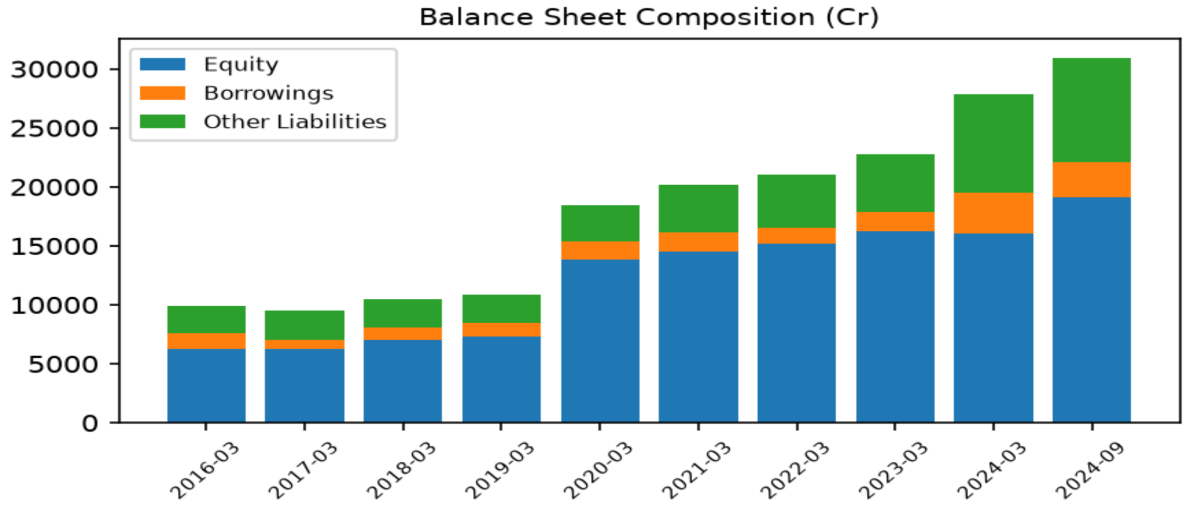
ROE 7.6%	**ROCE** 9.8%	**Net Profit Margin** 8.0%
D/E 0.2	**Revenue CAGR 5yr** 16.0%	**Free Cash Flow (Cr)** 26.0

Revenue & Net Profit (10yr)

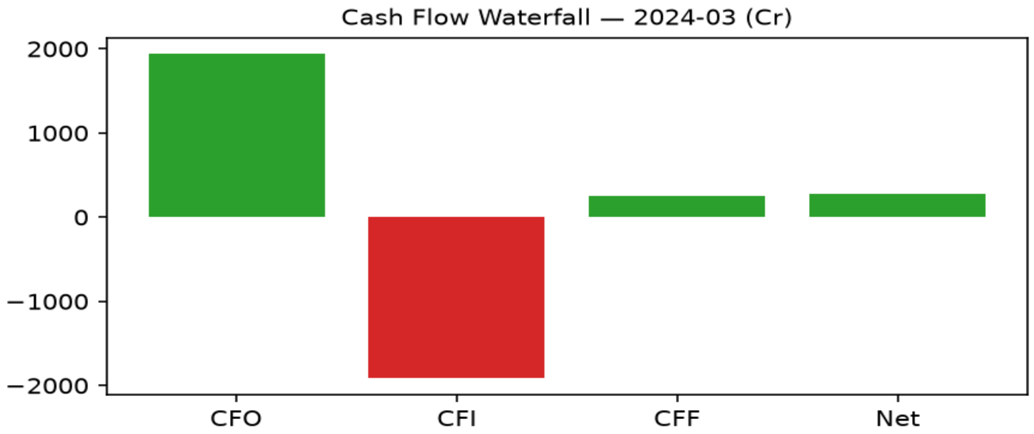


ROE & ROCE (10yr)

Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Mixed